

CALC
Spec 3.6.4 · Card 1 / 16

Q01

Greggs plc 2023:

Revenue £1,809.6m · Gross profit £1,099.1m

Calculate the gross profit margin (1 d.p.).

Show your working – method marks are worth more than the final figure.

CALC
Spec 3.6.3 · Card 2 / 16

Q02

Gymshark hoodie line:

Selling price £45 · Variable cost £18 per hoodie

Fixed costs £67,500 per month · 4,000 hoodies sold in May

Calculate the profit Gymshark makes in May.

CALC
Spec 3.6.3 · Card 3 / 16

Q03

Aldi plans a new UK warehouse:

Initial investment £18m · 10-year lifespan

Total profit forecast over 10 years: £36m

Calculate the average rate of return.

CALC
Spec 3.6.4 · Card 4 / 16

Q04

BrewDog plc 2023:

Revenue £354.6m · Pre-tax loss £59.2m

Calculate the net profit margin (1 d.p.).

A loss gives a negative margin – write it with a minus sign.

CALC
Spec 3.6.3 · Card 3 / 16

A03

Average annual profit = $36 / 10 = \text{£}3.6\text{m}$
ARR = (Avg annual profit / Initial) $\times 100$
ARR = $(3.6 / 18) \times 100$
= 20%

Common error

Forgetting to divide total profit by lifespan first – gives 200% which is the giveaway.

CALC
Spec 3.6.4 · Card 4 / 16

A04

NPM = (Net profit / Revenue) $\times 100$
NPM = $(-59.2 / 354.6) \times 100$
= -16.7% (a loss-making margin)

Common error

Writing 16.7% with no minus – loses 1 mark because it implies BrewDog made a profit.

CALC
Spec 3.6.4 · Card 1 / 16

A01

GPM = (Gross profit / Revenue) $\times 100$
GPM = $(1,099.1 / 1,809.6) \times 100$
= 60.7%

Common error

Using revenue as the numerator gives 1.646 – formula reversed. Award 1 mark only.

CALC
Spec 3.6.3 · Card 2 / 16

A02

Revenue = $4,000 \times \text{£}45 = \text{£}180,000$
Variable costs = $4,000 \times \text{£}18 = \text{£}72,000$
Total costs = $\text{£}72,000 + \text{£}67,500 = \text{£}139,500$
= £40,500 profit in May

Common error

Stopping at £108,000. That is revenue minus variable costs; fixed costs still come off.

Aldi UK Mar 2024: 10.0% Kantar market share.

Stocks ~1,800 lines (mostly own-brand).

Tesco stocks ~30,000 lines.

How does Aldi's narrow range help it sustain low prices?

ASOS pre-tax loss £296.7m FY23.

Cut site-wide sales in 2024; raised average price.

Customers aged 16-24 – direct rival Shein.

Will cutting sales lift or hurt revenue?

JD signed a 5-year exclusive UK Nike trainer-drop deal.

Revenue FY24: £10.5bn.

Sports Direct (Frasers) sells cheaper, less distinctive.

How does exclusivity strengthen JD's brand?

Pret has ~470 UK shops; central London lunch trade -25% vs 2019.

Club Pret: £30/month for up to 5 barista drinks/day.

Why does the subscription model fit hybrid working?

Premium perception. If a drop is only at JD, it must be the first-choice destination – queues, hype, social-media reach.

Implied endorsement. Nike chose JD over Sports Direct or Foot Locker UK – buyers read that as a quality signal.

Differentiation off price. JD can't beat Sports Direct on price, so it wins on product and exclusivity instead – protects full RRP margin.

Locks in demand on WFH days. Subscribers pay even on days they don't come in – converts variable footfall into predictable monthly revenue.

Low marginal cost. A coffee is pence in ingredients; most subscribers use far fewer than 5/day – high margin per subscriber on average.

Risk. Heavy users (3+/day) eat margin – Pret must price the cap correctly.

Bulk-purchase discounts. 1,800 lines means each line is bought in larger volumes than at Tesco – bigger supplier discounts per unit.

Lower handling cost. Fewer SKUs = simpler distribution, faster shelf-replenishment, less labour per store.

Pricing supports promotion. The 'Like Brands, Only Cheaper' campaign is credible because prices really are lower – the 4Ps reinforce each other.

Lifts margin. Fewer discounts = higher average selling price = better gross margin per item. The 2023 loss came from discount-led trading.

Volume risk. 16-24s are price-elastic and Shein is one click away – losing customers entirely is the danger, not just losing one transaction.

Judgement. Worth it only if ASOS retains buyers via brand, delivery speed and exclusives – not on price.

FINANCE

Spec 3.6.1 · Card 9 / 16

Q09

B&M plans 45 new UK stores at £550k each (£25m total).

Retained profit FY23: ~£498m.

Existing bank debt: ~£930m.

Use retained profit or issue new shares?

FINANCE

Spec 3.6.2 · Card 10 / 16

Q10

Costa: ~2,700 UK stores. Coca-Cola bought it for £3.9bn in 2019.

Bean import prices +38% Jan 2023 - Mar 2024.

Medium flat white: £3.10 -> £3.40 (+9.7%).

What happens to Costa's cash flow?

FINANCE

Spec 3.6.2 · Card 11 / 16

Q11

BrewDog FY23: pre-tax loss £59m. Closed 10 UK bars.

How can a loss-making business still survive short-term if it manages cash flow?

FINANCE

Spec 3.6.3 · Card 12 / 16

Q12

Define fixed costs and variable costs, and explain why the split matters to a business when output rises.

Cash from asset sales. Closing bars releases lease deposits + fittings cash.

Supplier credit. Paying suppliers in 60 days while bars take cash same-day = positive working-capital cycle.

Overdraft. Banks lend to loss-makers with brand value + credible recovery plan (closing loss-making bars is exactly that).

Cost cuts. Brewing fewer slow-selling lines = lower ingredient outflow.

Total costs = fixed costs + variable costs

Fixed costs. Do not change with output: rent, insurance, salaries. They are paid whether the business sells one hoodie or a thousand.

Variable costs. Change directly with output: materials, packaging, piece-rate wages.

Why the split matters. As output rises the fixed costs are spread over more units, so cost per unit falls and profit per unit improves.

Retained profit wins. £25m is just 5% of the £498m cash pool – small relative to scale.

Avoids dilution. No new shares means existing owners keep 100% of future profits.

Avoids new debt. B&M already carries £930m – borrowing more would be risky.

Signal. Self-funding tells the market the business generates enough cash internally.

Outflow rises faster than inflow. 38% cost rise vs only 9.7% price rise – gap narrows.

Volume may fall. Cost-of-living squeeze means a 9.7% rise could reduce cups sold – softens cash inflow.

Hedging. Costa can lock in bean prices via forward contracts – smooths cash but misses any price falls.

TECHNIQUE
Spec 9-mark · Card 13 / 16

Q13

What does the examiner award marks for on the 9-mark Recommend question?

TECHNIQUE
Spec 12-mark · Card 14 / 16

Q14

What does the examiner award marks for on the 12-mark Analyse and Evaluate question?

TECHNIQUE
Spec AQA · Card 15 / 16

Q15

What does each AQA command word demand?

NOTES

TECHNIQUE
Spec Exam day · Card 16 / 16

Q16

Eight specific moves that lift a Year 11 answer from Level 2 to Level 3.

TECHNIQUE

Spec AQA · Card 15 / 16

A15

Calculate – show your method *and* the answer. Method marks even if the final number is wrong.

Explain – give one reason and develop it (cause → effect → business outcome).

Analyse – the 6-mark question. Two developed chains. No judgement.

Recommend (9 marks) – analyse, pick one, say why, and finish with a justified conclusion.

TECHNIQUE

Spec Exam day · Card 16 / 16

A16

1. Use the company's actual numbers – never 'a lot' or 'many'.

2. Use the command word literally.

3. After each chain write 'this matters because...'.

4. On 12-mark, name the discriminator out loud: 'what tips this is...'.

5. Acknowledge the opposite case before dismissing it.

6. Finish the 9-mark Recommend with a justified conclusion.

7. Spend ~1 min per mark – 9 min on 9-mark, 12 min on 12-mark.

8. Show your method on calcs – method marks survive a wrong number.

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TECHNIQUE

Spec 9-mark · Card 13 / 16

A13

AO2 (3 marks) – apply to the firm in the case, using its own figures.

AO3 (6 marks) – developed chains of analysis, then a conclusion.

Level 3 needs – a focused conclusion that is fully justified.

Without one the answer is capped at 6 of 9.

TECHNIQUE

Spec 12-mark · Card 14 / 16

A14

AO1 (3 marks) – state the decision and the relevant theory.

AO2 (3 marks) – apply both options to the firm using its own figures.

AO3 (6 marks) – analyse both options, then evaluate which has more impact. Level 4 wants one integrated judgement.